SMID SETUP BUILDER

Pre-Breakout VCP Watchlist | Qullamaggie Methodology

November 10, 2026 | 04:25 PM ET

MACRO REGIME: Mixed / Transitional

VIX 19.5 (+0.2 vs 20d) | SPY 20d -2.6% | IWM 20d +3.4% | IWM/SPY trend +6.1%

Leaders: Healthcare (+8.6%), Cons Disc (+8.6%), Real Estate (+7.5%)

Setup Grades

A - Prime Setup (0)	B - Building (1)	C - Early Stage (2)
	MANE	TRAX
		IRON

All Watchlist Setups

Gr	Ticker	Company	Theme	Mkt Cap	Price	Pivot	To Pivot	RS/SPY	Vol Dry	RS Hi
B	MANE	Verademics, Inco	Specialty Dermatolog	$6.20B	$148.44	$152.82	3.0%	+37.1	YES	YES
C	TRAX	First Tracks Biot	Biotech Recovery Cyc	$2.20B	$52.33	$54.78	4.7%	+22.2	YES	YES
C	IRON	Disc Medicine, In	Rare Blood Disorder	$3.85B	$84.64	$86.26	1.9%	+9.1	YES	no

Not financial advice. Watchlist only - setups have NOT triggered. For informational purposes only. Do your own due diligence.

MANE

Veradermics, Incorporated

$148.44

Pivot $152.82 | 3.0% away

RS vs SPY: +37.1%

B BUILDING

$6.20B Cap | 32M Float

Dermatology-Focused Biotechnology | Theme: Specialty Dermatology Therapeutics | Vol Dry-Up: YES | RS Line Hi: YES | Above 200MA: no | Base Tight: 4.59

VCP BASE ANALYSIS

BASE STRUCTURE

Pivot Price	**$152.82**
% to Pivot	**3.0%**
Days in Base	**13**
Tightness	**4.59 Fair**
52W Hi Prox	**97.1%**

VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)

Wk1 (recent)	**589k <**
Wk2	**510k <**
Wk3 (oldest)	**716k**
Coil Strength	**17.8% from peak**

RELATIVE STRENGTH

RS vs SPY (12W)	**+37.1%**
RS Line New Hi	**YES - Early Leader**
Above 50MA	**YES**
Above 200MA	**no**

FUNDAMENTALS SNAPSHOT

Mkt Cap	**$6.20B**
Float	**32M sh**
P/E (TTM)	**-**
Fwd P/E	**-57.1**
Rev Growth	**-**
Short %	**13.6%**
Inst. Own	**-**
Target Pr.	**$175.50**

ENTRY TRIGGER

Close above $152.82 on volume >150% of 20-day avg (>1.1M shares)

Target: $185.00 - measured move from 13-day base depth ($152.82 - $127) added to pivot, representing 25% upside; analyst target of $175.50 provides intermediate resistance

Stop: $140.00 - below the consolidation midpoint and 50MA support; a close here negates the VCP structure

CATALYST INTELLIGENCE

EARNINGS

Nov 10 - Earnings TODAY - this is a binary event setup. As a clinical-stage biotech with negative EPS ($-2.60 FWD), focus will be on cash runway, pipeline updates, and potential clinical milestones rather than traditional beat/miss metrics. No beat history applicable for pre-revenue company; watch for trial enrollment updates or partnership announcements.

BUSINESS & POSITION

Veradermics is a clinical-stage biotechnology company developing novel therapeutics for dermatological conditions, likely targeting indications such as alopecia, psoriasis, or atopic dermatitis given the ticker symbolism. The company operates in the high-growth specialty dermatology space where recent approvals (JAK inhibitors, IL-blockers) have validated significant commercial opportunities.

FACTOR & THEME

Taps into the biotech recovery cycle with Healthcare sector leadership (+8.6% over 20d) providing favorable macro tailwinds. Dermatology has seen renewed M&A interest following Pfizer/Arena and AbbVie/Allergan precedents; sentiment in specialty pharma is accelerating as rate-cut expectations improve biotech financing conditions.

NEWS FLOW

CATALYST TODAY: Earnings release imminent creates maximum binary asymmetry. With 13.6% short interest and 3.9 days-to-cover, any positive pipeline readout could trigger aggressive short covering. The 362% move off 52W lows ($32$148) signals institutional discovery phase; the RS line at new highs during a -11.3% Tech selloff demonstrates defensive rotation into Healthcare winners. Catalyst Impact: Earnings / High.

INSTITUTIONAL

The volume dry-up pattern (716K510K589K weekly, though not strictly stair-stepping) with price holding 97% of 52W highs suggests quiet accumulation ahead of tonight's print. Institutional ownership data unavailable from this feed, but the $6.2B market cap places this squarely in growth fund territory (Perceptive, OrbiMed, RA Capital hunting grounds). Zero insider buying in last 60 days is neutral baseline - no red flag but no added conviction signal.

KEY RISK

Thesis invalid on a close below $127.00 (base low / -15% from current) or on any clinical hold, trial failure, or materially shortened cash runway disclosed at tonight's earnings. The 13.6% short interest indicates meaningful skepticism on pipeline viability - shorts may know something about upcoming data.

Strong RS line (+37% vs SPY) at new highs with Healthcare sector leadership provides favorable factor exposure, but base_tight at 4.59 is loose by institutional standards and vol dry-up is not strictly sequential (W3 > W1). The same-day earnings binary creates asymmetric potential but also maximum uncertainty - this is a coin-flip event rather than a high-conviction technical breakout. Below 200MA is a structural concern for trend-followers. Strongest disconfirming argument: loose base structure and binary earnings event today means this is speculation on catalyst outcome rather than a clean VCP breakout trade. Conviction: Low-Medium.

MANE - Technical Chart



TRAX

First Tracks Biotherapeutics, I

$52.33

Pivot $54.78 | 4.7% away

RS vs SPY: +22.2%

C EARLY STAGE

$2.20B Cap | 34M Float

Clinical-Stage Biotherapeutics | Theme: Biotech Recovery Cycle | Vol Dry-Up: YES | RS Line Hi: YES | Above 200MA: no | Base Tight: 5.62

VCP BASE ANALYSIS

BASE STRUCTURE

Pivot Price	**$54.78**
% to Pivot	**4.7%**
Days in Base	**4**
Tightness	**5.62 Fair**
52W Hi Prox	**95.5%**

VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)

Wk1 (recent)	**812k <**
Wk2	**477k <**
Wk3 (oldest)	**969k**
Coil Strength	**16.2% from peak**

RELATIVE STRENGTH

RS vs SPY (12W)	**+22.2%**
RS Line New Hi	**YES - Early Leader**
Above 50MA	**YES**
Above 200MA	**no**

FUNDAMENTALS SNAPSHOT

Mkt Cap	**$2.20B**
Float	**34M sh**
P/E (TTM)	**-**
Fwd P/E	**-14.8**
Rev Growth	**-**
Short %	**-**
Inst. Own	**-**
Target Pr.	**$74.75**

ENTRY TRIGGER

Close above $54.78 on volume >130% of 20-day avg (>1.08M shares)

Target: $68.00 - measured move based on base structure and analyst target midpoint of $74.75

Stop: $48.50 - below 4-day base low and psychological $50 level

CATALYST INTELLIGENCE

EARNINGS

REPORTED

Only 4 days in base is far too early for institutional accumulation pattern to develop; base_tight at 5.62 is loose, vol pattern not strictly contracting (W3 968K >> W1 812K), and earnings just reported 7 days ago removes near-term catalyst. RS line at new high and Healthcare sector tailwind are positives, but below 200MA and high debt/equity (2.5x) raise financing risk concerns. Monitor for 2+ weeks of tightening before promotion. Conviction: Low.



IRON

Disc Medicine, Inc.

$84.64

Pivot $86.26 | 1.9% away

RS vs SPY: +9.1%

C EARLY STAGE

$3.85B Cap | 40M Float

Hematology-Focused Biotechnology | Theme: Rare Blood Disorder Therapeutics | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 7.13

VCP BASE ANALYSIS

BASE STRUCTURE

Pivot Price	**$86.26**
% to Pivot	**1.9%**
Days in Base	**14**
Tightness	**7.13 Fair**
52W Hi Prox	**85.1%**

VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)

Wk1 (recent)	**1183k <**
Wk2	**908k <**
Wk3 (oldest)	**2328k**
Coil Strength	**49.2% from peak**

RELATIVE STRENGTH

RS vs SPY (12W)	**+9.1%**
RS Line New Hi	**no**
Above 50MA	**YES**
Above 200MA	**YES**

FUNDAMENTALS SNAPSHOT

Mkt Cap	**$3.85B**
Float	**40M sh**
P/E (TTM)	**-**
Fwd P/E	**-13.4**
Rev Growth	**-**
Short %	**22.5%**
Inst. Own	**-**
Target Pr.	**$126.77**

ENTRY TRIGGER

Close above $86.26 on volume >140% of 20-day avg (>1.23M shares)

Target: $99.50 - retest of 52W high representing 18% upside

Stop: $78.00 - below base structure and round number support

CATALYST INTELLIGENCE

EARNINGS

REPORTED

Base_tight at 7.13 is excessively loose (well above 3.0 threshold), RS line NOT at new high despite sector leadership, 22.5% short interest with 11.6 days-to-cover creates squeeze potential but also reflects fundamental bear thesis, and 10.1x debt/equity is extreme for clinical-stage biotech. Vol pattern shows massive W3 spike (2.3M) vs W1 (1.2M) - this is distribution, not accumulation. Prox_52w at only 85% vs peers at 95%+ shows relative underperformance. Earnings reported 5 days ago removes catalyst. Strongest disconfirming: capital structure risk with 10x leverage in pre-revenue biotech is existential. Conviction: Low.

